

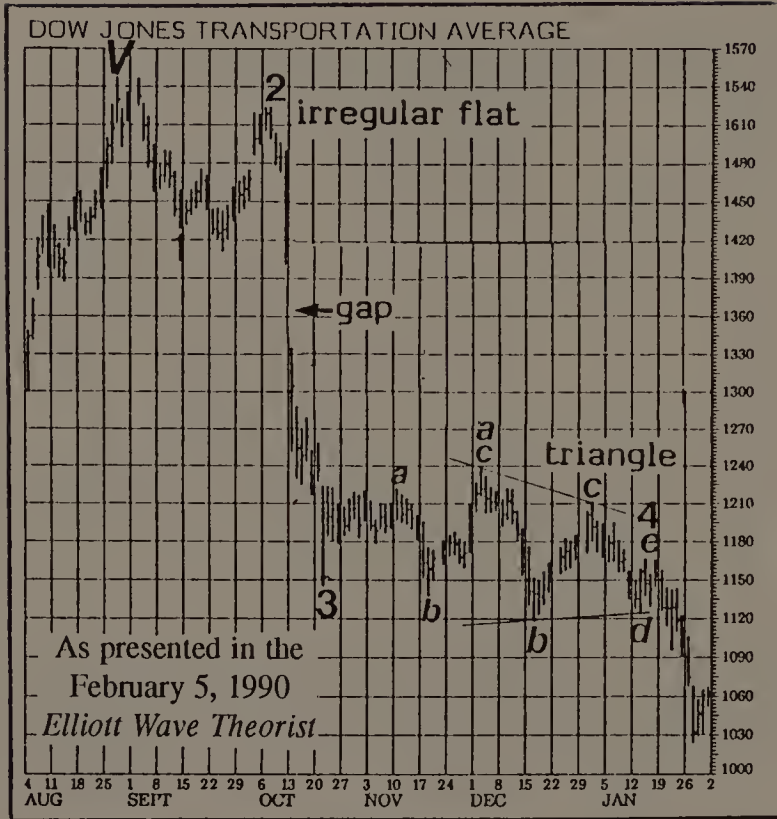


Figure 6-3

low to complete wave v of 5. If the Transports rally from here or from a slight new low, the first target will be a .382 retracement, which would be in the range of wave 4.

The DJTA rallied right to its target, and the April 2, 1990 issue commented, "The minimum for a normal partial retracement within a bear market has occurred. The bear market rally may be over, [but] the best interpretation is that it is only wave a of a developing a-b-c rally." Two months later, after rising slightly higher, the rally ended a few points below a perfect .382 retracement of the previous decline. The July 27, 1990 issue showed a chart of the DJTA (labeling wave ② as wave ②), as shown in Figure 6-4.

The DJTA began collapsing again immediately, in what is labeled wave ③ in Figure 6-5. Two weeks from the October 1990 low, *The Elliott Wave Theorist* observed, "Supporting the case for a short term stock market low is the neat five wave structure from June on the daily chart of the Dow Jones Transports." It was not a short term low, however, but a *major* one.